

Sinocera Functional Material 300285.SZ 300285 CH

Global Markets Research
21 August 2026

EQUITY: Electronics

High-end powders ramp up; AI exposure broadens

Initiate at Neutral with a TP of CNY70, implying 3.2% upside

Electronic materials to benefit from MLCC recovery and high-end powder ramp-up

Sinocera is a leading domestic ceramic materials producer and MLCC dielectric powder supplier. We expect its electronic materials business to benefit from recovering MLCC demand and growing use of high-capacitance MLCCs in AI servers and automotive electronics. The company is improving capacity utilization and expanding capacity for high-end MLCC dielectric powders. We forecast sales volumes of 12.3kt/13.5kt/13.8kt and ASP growth of 4%/5%/10% y-y for MLCC dielectric powder in 2026-28F, supporting a 20% revenue CAGR. We expect GPM to gradually rise to 39% in 2028F, supported by higher capacity utilization and a greater contribution from high-end powders.

Core businesses stable; new energy and AI at an early stage

We forecast a 20% revenue CAGR and a 51-52% GPM for biomedical materials in 2026-28F, supported by domestic dental-material demand, localization opportunities arising from China's rare-earth export controls, the consolidation of SDI and broader access to overseas distribution channels. The company announced price increases for zirconia powders from July 2026, which we believe should help pass through part of the rise in raw material costs. For catalyst materials, we forecast a 15% revenue CAGR in 2026-28F with GPM of c.42%, supported by tighter emissions standards, broader vehicle-model coverage and overseas expansion. Among the other businesses, revenue from new energy materials increased 56.5% y-y to CNY339mn in 1H26, while GPM increased 13.5pp to 34.7%. In addition, certain spherical silica powder products used in copper-clad laminates have entered small-scale sales, while ceramic substrates remain under customer validation. Currently the contribution from these businesses is limited, but successful mass production could unlock the company's growth potential in AI data-center applications, in our view.

Initiate at Neutral with a TP to CNY70, implying 3.2% upside

Considering the ramp-up of high-end MLCC powder, SDI consolidation and stronger new energy business growth, we forecast revenue of CNY5.66bn/CNY6.75bn/CNY7.66bn and net profit of CNY891mn/CNY1.15bn/CNY1.40bn in 2026-28F, implying CAGRs of 19% and 32%, respectively. We value Sinocera at 60x 2027F P/E, above the peer average of 43.2x, reflecting its leading position in MLCC dielectric powders, continued product-mix improvement and potential valuation upside from AI-related businesses. Based on 2027F EPS of CNY1.16, we derive a TP of CNY70, implying 3.2% upside; initiate at Neutral. Following 15.8pp outperformance against the CSI 300 in the month to 21 August, which we believe was driven by solid core-business performance and market expectations for the progress in its new AI businesses, the stock currently trades at 58.6x 2027F P/E. **Key catalysts:** stronger-than-expected high-end powder sales and faster progress in AI-related businesses. **Key upside/downside risks:** stronger/weaker-than-expected downstream demand; faster/slower-than-expected new-product ramp-up; and smaller/larger-than-expected raw material price hikes.

Year-end 31 Dec	FY25	FY26F		FY27F		FY28F	
Currency (CNY)	Actual	Old	New	Old	New	Old	New
Revenue (mn)	4,583		5,664		6,751		7,657
Reported net profit (mn)	610		891		1,154		1,401
Normalised net profit (mn)	605		889		1,149		1,391
FD normalised EPS	0.61		0.89		1.15		1.39
FD norm. EPS growth (%)	4.3		46.9		29.2		21.0
FD normalised P/E (x)	111.8		76.1		58.9		48.6
EV/EBITDA (x)	24.7		43.9		35.7		30.0
Price/book (x)	3.8		8.6		7.6		6.7
Dividend yield (%)	0.2		0.1		0.2		0.2
ROE (%)	8.5		11.4		13.0		13.8
Net debt/equity (%)	net cash		net cash		net cash		net cash

Source: Wind, company data, Nomura estimates

Rating
Starts at **Neutral**

Target price
Starts at **CNY 70.00**

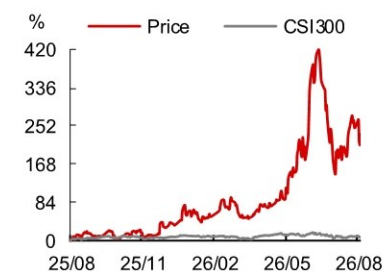
Closing price
21 Aug 2026 **CNY 67.86**

Implied upside **+3.2%**

Market Cap (USD mn) 9,978.1

ADT (USD mn) 1,308.4

Relative performance chart



Source: Gildata

Research Analysts

China Electronics and Autos

Jie Dai - NOI

noiresearch@nomura.com

SAC Registration No.: S1720522090002

Zhijing Li - NOI

noiresearch@nomura.com

SAC Registration No.: S1720523120002

This document is an English translation of the original Chinese report released on 21 August 2026 by Nomura Orient International Securities Co., Ltd. in the People's Republic of China. In case of any discrepancy between the English translation and the Chinese original, the Chinese version shall prevail.

Production Complete: 2026-08-21 15:21 UTC

See Appendix A-1 for analyst certification, important disclosures and the status of non-US analysts.

Key data on Sinocera Functional Material

Performance

(%)	1M	3M	12M		
Absolute (CNY)	13.3	63.4	232.8	M cap (USDmn)	9,978.1
Absolute (USD)	13.5	64.7	249.9	Free float (%)	81.7
Rel to CSI 300	15.8	66.8	225.1	3-mth ADT (USDmn)	1,308.4

Source: Gildata

Income statement (CNYmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Revenue	4,047	4,583	5,664	6,751	7,657
Cost of goods sold	-2,441	-2,861	-3,510	-4,092	-4,557
Gross profit	1,605	1,722	2,154	2,660	3,101
SG&A	-870	-920	-1,168	-1,377	-1,542
Employee share expense					
Operating profit	775	771	1,097	1,410	1,732
EBITDA	1,094	1,097	1,533	1,876	2,201
Depreciation	-333	-344	-402	-429	-451
Amortisation					
EBIT	761	753	1,131	1,447	1,749
Net interest expense	-9	-5	-34	-37	-17
Associates & JCEs	0	0	0	0	0
Other income	34	-36	145	165	191
Earnings before tax	761	760	1,097	1,410	1,732
Income tax	-93	-90	-115	-141	-191
Net profit after tax	668	670	982	1,269	1,542
Minority interests	-63	-60	-90	-115	-141
Other items	0	0	0	0	0
Preferred dividends					
Normalised NPAT	581	605	889	1,149	1,391
Extraordinary items	24	5	2	5	10
Reported NPAT	605	610	891	1,154	1,401
Dividends	-149	-148	-89	-115	-140
Transfer to reserves	456	462	802	1,039	1,261

Valuations and ratios

Reported P/E (x)	28.1	44.8	75.9	58.6	48.3
Normalised P/E (x)	29.3	45.1	76.1	58.9	48.6
FD normalised P/E (x)	116.5	111.8	76.1	58.9	48.6
Dividend yield (%)	0.2	0.2	0.1	0.2	0.2
Price/cashflow (x)	89.8	84.1	85.3	67.6	45.9
Price/book (x)	2.5	3.8	8.6	7.6	6.7
EV/EBITDA (x)	15.5	24.7	43.9	35.7	30.0
EV/EBIT (x)	88.9	89.6	59.6	46.2	37.7
Gross margin (%)	39.7	37.6	38.0	39.4	40.5
EBITDA margin (%)	27.0	23.9	27.1	27.8	28.7
EBIT margin (%)	18.8	16.4	20.0	21.4	22.8
Net margin (%)	14.9	13.3	15.7	17.1	18.3
Effective tax rate (%)	12.2	11.8	10.5	10.0	11.0
Dividend payout (%)	24.6	24.3	10.0	10.0	10.0
ROE (%)	9.0	8.5	11.4	13.0	13.8
ROA (pretax %)	8.5	8.1	10.9	12.4	13.6

Growth (%)

Revenue	4.9	13.2	23.6	19.2	13.4
EBITDA	11.6	0.3	39.8	22.4	17.3
Normalised EPS	7.8	4.3	46.9	29.2	21.0
Normalised FDEPS	7.0	4.3	46.9	29.2	21.0

Source: Wind, company data, Nomura estimates

Cashflow statement (CNYmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
EBITDA	1,094	1,097	1,533	1,876	2,201
Change in working capital	-311	-312	-570	-708	-504
Other operating cashflow	-29	20	-170	-168	-222
Cashflow from operations	754	804	793	1,001	1,475
Capital expenditure	-373	-404	-469	-382	-344
Free cashflow	381	400	324	619	1,131
Reduction in investments	-3	-18	-31	-37	-34
Net acquisitions	0	0	0	0	0
Dec in other LT assets	0	0	0	0	0
Inc in other LT liabilities	0	0	0	0	0
Adjustments	56	33	-34	38	46
CF after investing acts	433	415	259	620	1,143
Cash dividends	-149	-148	-89	-115	-140
Equity issue	0	51	0	0	0
Debt issue	-152	-106	426	-200	-240
Convertible debt issue					
Others	-130	-108	-65	-49	-32
CF from financial acts	-431	-312	271	-365	-412
Net cashflow	6	99	510	255	731
Beginning cash	575	581	680	1,190	1,445
Ending cash	581	680	1,190	1,445	2,176
Ending net debt	-143	-246	-406	-861	-1,831

Balance sheet (CNYmn)

As at 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Cash & equivalents	581	680	1,190	1,445	2,176
Marketable securities	71	59	71	71	71
Accounts receivable	1,979	2,142	2,709	3,192	3,641
Inventories	858	776	1,093	1,364	1,582
Other current assets	261	311	366	424	470
Total current assets	3,750	3,968	5,429	6,496	7,940
LT investments	195	174	204	241	274
Fixed assets	2,852	2,993	2,766	2,611	2,415
Goodwill	1,844	1,836	2,136	2,254	2,351
Other intangible assets	282	272	268	259	251
Other LT assets	200	260	360	360	360
Total assets	9,123	9,504	11,162	12,219	13,591
Short-term debt	96	274	204	154	164
Accounts payable	769	595	918	960	1,130
Other current liabilities	503	563	685	746	786
Total current liabilities	1,367	1,432	1,807	1,860	2,080
Long-term debt	343	160	580	430	180
Convertible debt					
Other LT liabilities	202	205	298	298	298
Total liabilities	1,912	1,797	2,684	2,588	2,558
Minority interest	496	554	645	760	901
Preferred stock					
Common stock	997	997	997	997	997
Retained earnings	4,151	4,563	5,356	6,395	7,656
Proposed dividends					
Other equity and reserves	1,566	1,592	1,479	1,479	1,479
Total shareholders' equity	7,210	7,706	8,477	9,631	11,033
Total equity & liabilities	9,123	9,504	11,162	12,219	13,591

Liquidity (x)

Current ratio	2.74	2.77	3.00	3.49	3.82
Interest cover	87.2	147.4	33.1	39.4	101.7

Leverage

Net debt/EBITDA (x)	net cash	net cash	net cash	net cash	net cash
Net debt/equity (%)	net cash	net cash	net cash	net cash	net cash

Per share

Reported EPS (CNY)	0.61	0.62	0.89	1.16	1.40
Norm EPS (CNY)	0.58	0.61	0.89	1.15	1.39
FD norm EPS (CNY)	0.58	0.61	0.89	1.15	1.39
BVPS (CNY)	6.73	7.17	7.86	8.90	10.16
DPS (CNY)	0.15	0.15	0.09	0.12	0.14

Activity (days)

Days receivable	171.9	161.9	154.2	157.3	160.6
Days inventory	121.5	102.8	95.9	108.1	116.4
Days payable	113.8	85.8	77.6	82.6	82.6
Cash cycle	179.5	178.9	172.5	182.8	194.4

Source: Wind, company data, Nomura estimates

Company profile

Sinocera is a leading Chinese ceramic materials producer. The company began with barium titanate powders for electronic ceramics and, leveraging its proprietary hydrothermal synthesis process, became a leader in import substitution for MLCC dielectric powders in China. Since 2014, it has expanded through acquisitions into catalytic materials, biomedical materials and architectural ceramics, developing into a diversified ceramic materials platform serving a broad range of end markets.

Valuation Methodology

We derive our TP of CNY70 by applying a target P/E of 60x to our 2027F EPS forecast of CNY1.16. The premium to the peer-average 2027E P/E reflects the continued ramp-up of high-end MLCC dielectric powders and product-mix improvement, as well as potential valuation upside from AI-related businesses. The stock's benchmark index is the CSI 300 Index.

Risks that may impede the achievement of the target price

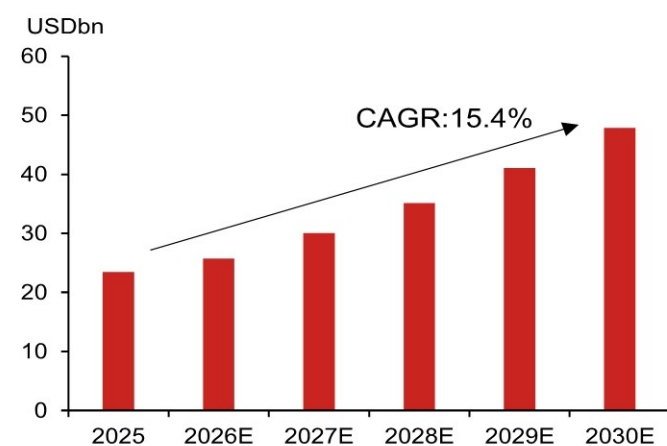
Key upside/downside risks include stronger/weaker-than-expected downstream demand; faster/slower-than-expected new-product ramp-up; and smaller/larger-than-expected raw material price increases.

ESG

According to Sinocera's 2025 ESG report, the company has established a ceramic-waste recycling system and optimized calcination and reaction processes for core products, including zirconia and silicon nitride, reducing energy consumption and solid-waste generation per unit of output. Its zirconia-waste recycling rate exceeded 75.2%.

Focus charts

Fig. 1: Global MLCC market poised for strong growth



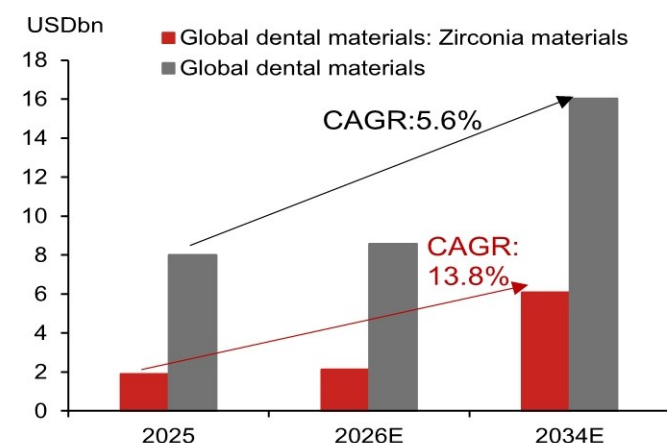
Source: China Business Industry Research Institute, Shenzhen Electronics Chamber of Commerce, Nomura

Fig. 2: Ceramic powder accounts for a larger share of high-capacitance MLCC costs

Cost structure	Low-capacitance MLCC	Low-capacitance MLCC
Ceramic powder	20-25%	35-45%
Inner electrode (nickel/silver/palladium)	5%	5-10%
Outer electrode (copper/silver)	5%	5-10%
Packaging materials	20-30%	1-5%
Labor costs	10-20%	10-20%
Equipment depreciation and others	20-35%	20-30%

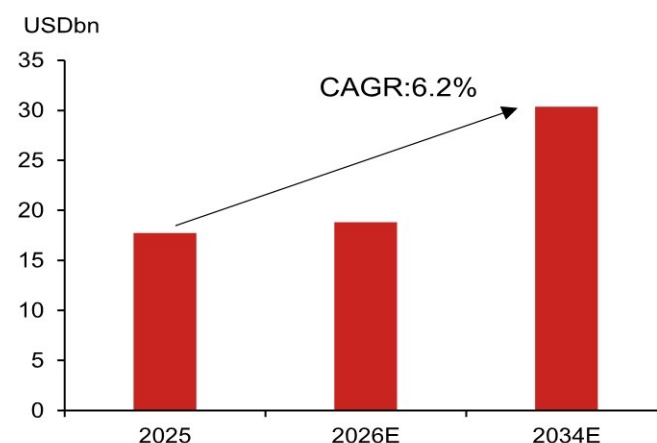
Source: OFweek, Qianzhan Industry Research Institute, Nomura

Fig. 3: Zirconia materials are expected to outgrow the overall dental materials market



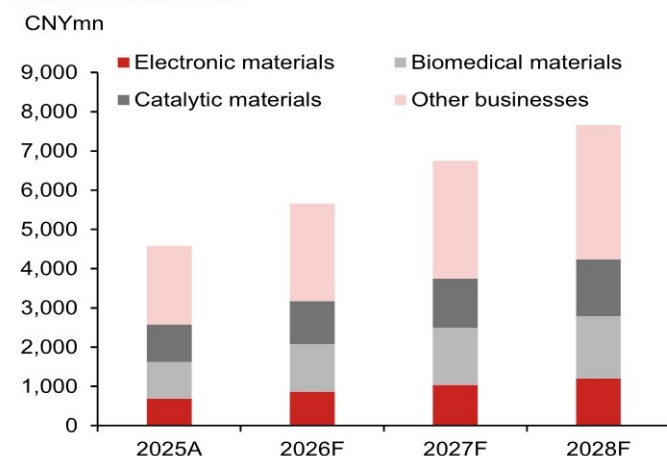
Source: Global Growth Insights forecasts, Nomura

Fig. 4: Global automotive catalyst market is expected to grow steadily



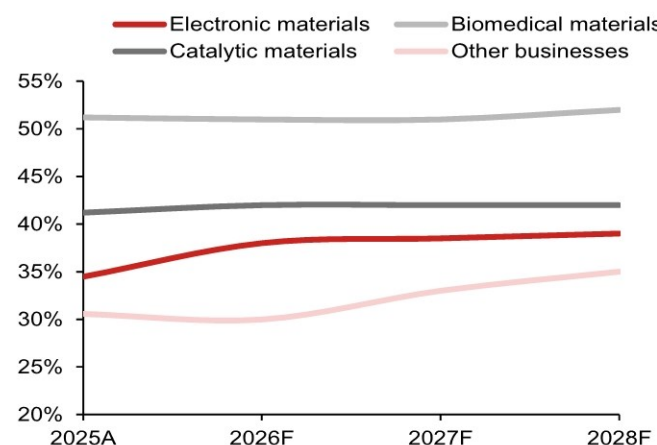
Source: Global Growth Insights forecasts, Nomura

Fig. 5: Sinocera - We forecast continued revenue growth across all businesses



Source: Wind, Nomura estimates

Fig. 6: Sinocera - We expect a steady gross margin recovery



Source: Wind, Nomura estimates

Results review

According to the company's interim results report, in 1H26, Sinocera recorded a revenue of CNY2.51bn, up 16.6% y-y, and net profit of CNY363mn, up 9.4% y-y. New energy materials was the main growth driver, with revenue rising 56.5% y-y to CNY339mn and GPM increasing 13.5pp to 34.7%. The other businesses delivered broadly stable performance.

Financial forecasts

Considering the ramp-up of high-end MLCC powder, SDI consolidation and stronger new energy business growth, we forecast revenue of CNY5.66bn/CNY6.75bn/CNY7.66bn and net profit of CNY891mn/CNY1.15bn/CNY1.40bn in 2026-28F, implying CAGRs of 19% and 32%, respectively. Our detailed breakdown of forecasts is as follows:

- Electronic materials:** We expect the electronic materials business to benefit from recovering MLCC demand and growing use of high-capacitance MLCCs in AI servers and automotive electronics. The company is improving capacity utilization and expanding capacity, with a focus on high-end MLCC dielectric powders for AI servers and automotive applications. We forecast MLCC dielectric powder sales volumes of 12.3kt/13.5kt/13.8kt in 2026-28F. We assume that high-end powders command higher ASPs than conventional products and forecast overall MLCC dielectric powder ASP growth of 4%/5%/10% y-y in 2026-28F as the high-end product mix improves. We forecast a 20% revenue CAGR for the electronic materials business over 2026-28F and expect gross margin to rise to 38-39%, supported by a more favorable product mix.
- Biomedical materials:** We expect dental-material demand to grow steadily amid population ageing, while the aesthetic and durability advantages of zirconia ceramics should support further penetration. China's export controls on certain rare-earth materials, including yttria used to stabilize zirconia, could also create localization opportunities by constraining overseas zirconia production, in our view. According to the company's announcement dated 6 July, it completed the acquisition of Australian dental restorative products manufacturer SDI Limited on 6 July 2026. We believe the acquisition expands Sinocera's product portfolio beyond zirconia powders and blocks, while SDI's distribution network in Europe, the US and Australia should support overseas expansion. Factoring in domestic demand, localization opportunities and the consolidation of SDI, we forecast a 20% revenue CAGR in 2026-28F. The company also announced zirconia powder price increases of 10-40% from July 2026, which should help offset higher raw material costs, in our view. We forecast a gross margin of 51-52% for the business in 2026-28F.
- Catalytic materials:** Sinocera is a major domestic provider of automotive emissions-control solutions. We expect the business to benefit from tighter domestic emissions standards, broader vehicle-model coverage and overseas expansion in cooperation with leading international customers. We forecast a 15% revenue CAGR and a gross margin of c.42% for the business in 2026-28F.
- Other businesses:** We believe demand for architectural ceramic materials remains under pressure amid the weakness in China's property market, although Sinocera is seeking to stabilize the business through product innovation and overseas expansion. New energy materials are growing rapidly and should become an increasingly meaningful contributor, in our view. We forecast a 33% revenue CAGR for new energy materials in 2026-28F. According to the company's 1H26 results report, some spherical silica powders used as copper-clad laminate fillers have entered small-scale sales; and ceramic substrates, including those used in thermoelectric coolers and multilayer ceramic substrates, remain under joint development and customer validation. Successful qualification and mass production could unlock Sinocera's growth potential in AI data-center applications, in our view. We forecast a 19% revenue CAGR for the overall other-business segment in 2026-28F and expect gross margin to rise from 30% in 2026F to 35% in FY28F, supported by scale benefits and a greater contribution from higher-value-added products.

Expense ratios: Given higher administrative expenses this year due to transaction-related professional fees associated with the acquisition of SDI, we expect the administrative expense ratio to rise to 7.2% in 2026F and the operating expense ratio to increase to 20.6%. Meanwhile, an increase in long-term borrowings is likely to push the finance expense ratio up to 0.6%. For 2027-28F, we expect the administrative expense ratio to decline to 7.0%/6.8%, the operating expense ratio to edge down to 20.4%/20.1%, and the finance expense ratio to fall to 0.5%/0.2%.

Fig. 7: Sinocera – Key financial forecasts

CNYmn	2026F	2027F	2028F	2026-2028F CAGR
Electronic materials				
Revenue	867	1,040	1,196	20%
Gross margin	38.0%	38.5%	39.0%	
Biomedical materials				
Revenue	1,209	1,450	1,595	20%
Gross margin	51.0%	51.0%	52.0%	
Catalytic materials				
Revenue	1,097	1,261	1,450	15%
Gross margin	42.0%	42.0%	42.0%	
Other businesses				
Revenue	2,492	2,999	3,415	19%
Gross margin	30.0%	33.0%	35.0%	
Total revenue	5,664	6,751	7,657	19%
y-y growth	23.6%	19.2%	13.4%	
Gross profit	2,154	2,660	3,101	22%
Gross margin	38.0%	39.4%	40.5%	
Operating expense	(1168)	(1377)	(1542)	19%
As % of total revenue	20.6%	20.4%	20.1%	
Selling expense	312	371	421	
As % of total revenue	5.5%	5.5%	5.5%	
Admin expense	408	473	521	
As % of total revenue	7.2%	7.0%	6.8%	
R&D expense	396	473	536	
As % of total revenue	7.0%	7.0%	7.0%	
Financial expense	34.2	36.8	17.2	
As % of total revenue	0.6%	0.5%	0.2%	
Opertaing profit	1,097	1,410	1,732	31%
y-y growth	42%	29%	23%	
Net profit	891	1,154	1,401	32%
y-y growth	46%	30%	21%	

Source: Sinocera 2025 annual report, Nomura estimates

Our 2026-28F earnings forecasts are above market consensus, mainly reflecting our more optimistic view on earnings improvement from the premiumization of the company's MLCC powder products and increasing economies of scale in its new energy business.

Fig. 9: Sinocera –Nomura estimates vs. Wind consensus

CNYmn	2026F			2027F			2028F		
	Nomura	Wind	Diff. (%)	Nomura	Wind	Diff. (%)	Nomura	Wind	Diff. (%)
Revenue	5664	5,477	3.4	6751	6,552	3.0	7657	7,739	-1.1
Net profit	891	836	6.6	1154	1,068	8.0	1401	1,302	7.6
Net margin (%)	15.7	15.3	0.5	17.1	16.3	0.8	18.3	16.8	1.5
EPS	0.89	0.84	6.6	1.16	1.07	8.0	1.40	1.31	7.6

Source: Wind, Nomura estimates

Valuation methodology and risks

Initiate at Neutral with a target price of CNY70

We use a P/E-based valuation methodology, given our expectation that the company will maintain steady earnings growth. Our comparable companies include downstream MLCC manufacturer Chaozhou Three-Circle Group (300408 CH, Buy); new energy materials producer Anhui Estone Materials Technology (688733 CH, Not Rated); spherical silica powder producers Jiangsu Yoke Technology (002409 CH, Not Rated) and Jiangsu Novoray New Material (688300 CH, Not Rated); and downstream dental-services provider Topchoice Medical (600763 CH, Not Rated).

We apply a target P/E of 60x for valuation, which is above the peer average 2027E P/E of 43.6x based on Wind consensus estimates. We believe the premium is justified by Sinocera's leading position in MLCC dielectric powders, the continued ramp-up of high-end products and potential valuation upside from AI-related businesses. Based on our 2027F EPS forecast of CNY1.16, we derive a target price of CNY70, implying 3.2% upside. We initiate coverage with a Neutral rating. Currently the stock trades at 58.6x 2027F P/E.

Fig. 8: Sinocera – Valuation comparables

Ticker	Company name	Rating	TP (LC)	CP (LC)	Mkt cap (CNYbn)	PE (x)			EPS CAGR 2026-28F	ROE (%)		
						2026F	2027F	2028F		2026F	2027F	2028F
300285 CH	Sinocera	Neutral	70.00	67.86	676.6	75.9	58.6	48.3	31%	11.4	13.0	13.8
300408 CH	Three-Circle Group	Buy	70.00	113.90	2261.8	64.7	52.0	41.0	27%	13.5	15.0	16.9
002409 CH	Yoke Technology	Not Rated	-	138.50	659.2	48.9	39.9	32.7	26%	14.9	16.1	17.1
688733 CH	Estone Materials	Not Rated	-	30.40	60.7	60.8	38.5	25.2	-	4.7	6.9	9.6
600763 CH	Topchoice Medical	Not Rated	-	35.37	158.2	26.6	23.5	20.6	42%	12.7	12.8	13.0
688300 CH	Novoray New Material	Not Rated	-	145.31	350.9	87.2	63.9	47.7	36%	20.5	23.3	25.1
Average						57.7	43.6	33.4	33%	13.3	14.8	16.4

Note: Priced as of 21 Aug 2026; Nomura estimates for rated stocks and Wind consensus estimates for not rated stocks; averages exclude Sinocera.
Source: Wind, Nomura estimates

Fig. 9: Sinocera- P/E band



Note: Priced as of 21 Aug 2026.
Source: Wind, Nomura

Fig. 10: Sinocera- P/B band



Note: Priced as of 21 Aug 2026.
Source: Wind, Nomura

Key upside/downside risks

- Stronger/weaker-than-expected downstream demand:** The company serves a diversified range of end markets, including MLCCs, new energy and property-related applications. These markets are affected by macroeconomic conditions, industrial policies, investment cycles and competition. A stronger/weaker expansion in downstream demand could bring uncertainties to the company's business performance, in our view.
- Faster/slower-than-expected new-product ramp-up:** The company is developing multiple new product lines, some of which remain at the customer-validation or production-ramp stage. Faster/slower progress towards commercial-scale shipments and the realization of scale benefits could have a positive/negative impact on revenue and profitability, in our view.
- Smaller/larger-than-expected raw material price increases:** The prices of certain raw materials are sensitive to environmental policies and export controls, which may constrain supply and increase price volatility. Smaller/larger-than-expected increases in key raw material prices could lead to stronger/weaker-than-expected gross margins and earnings, in our view.

Appendix A-1

This report has been produced by Nomura Orient International Securities Co., Ltd., the People's Republic of China. See [Disclaimers](#) for Nomura Group entity details.

Analyst Certification

We, Jie Dai, Zhijing Li, hereby certify (1) that the views expressed in this Research report accurately reflect our personal views about any or all of the subject securities or issuers referred to in this Research report, (2) no part of our compensation was, is or will be directly or indirectly related to the specific recommendations or views expressed in this Research report and (3) no part of our compensation is tied to any specific investment banking transactions performed by Nomura Securities International, Inc., Nomura International plc or any other Nomura Group company.

Issuer Specific Regulatory Disclosures

Issuer	Ticker	Price	Price date	Stock rating	Sector rating	Disclosures
Sinocera Functional Material	300285 CH	CNY 67.86	21-Aug-2026	Neutral	N/A	

Sinocera Functional Material (300285 CH)

CNY 67.86 (21-Aug-2026) Neutral (Sector rating: N/A)

Rating and target price chart (three year history)



For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology We derive our TP of CNY70 by applying a target P/E of 60x to our 2027F EPS forecast of CNY1.16. The premium to the peer-average 2027E P/E reflects the continued ramp-up of high-end MLCC dielectric powders and product-mix improvement, as well as potential valuation upside from AI-related businesses. The stock's benchmark index is the CSI 300 Index.

Risks that may impede the achievement of the target price Key upside/downside risks include stronger/weaker-than-expected downstream demand; faster/slower-than-expected new-product ramp-up; and smaller/larger-than-expected raw material price increases.

Definition of Equity Research Ratings

A rating of '**Buy**', indicates that the analyst expects the stock to outperform the Benchmark* over the next 12 months. A rating of '**Neutral**', indicates that the analyst expects the stock to perform in line with the Benchmark over the next 12 months. A rating of '**Reduce**', indicates that the analyst expects the stock to underperform the Benchmark over the next 12 months.

*The Benchmark for A-shares is CSI 300, the Benchmark for Hong Kong-listed stocks is Hang Seng Index and the Benchmark for US-listed stocks is Nasdaq Composite or S&P 500.

Disclaimers

Depending on the actual distribution of this report in various countries or regions globally, and unless otherwise specified in this disclaimer, "this report" as referred to herein may include its simplified Chinese and/or English versions.

This report has been produced by Nomura Orient International Securities Co., Ltd. ("Nomura Orient International Securities"). The information contained herein has been obtained from publicly available sources acknowledged by Nomura Orient International Securities, including information from third parties, such as rating information from credit rating agencies. Nomura Orient International Securities and its affiliates do not make any guarantee as to the accuracy, completeness, or timeliness of such information, nor do they guarantee that such information will not change. In particular, this report does not provide any tax-related information or opinions.

The information and opinions contained herein are for investors' reference only and shall not be construed as an offer or solicitation to buy or sell any securities or other financial products, nor do they constitute services to advise on any investment decision. Such information and opinions do not take into account the particular investment objectives, financial situation, or specific needs of any recipient of this report, and under no circumstances shall the information contained herein or the opinions expressed herein constitute a personal recommendation or actionable investment advice for any individual. Investors shall make their own independent evaluation of the information and opinions contained herein, and make decisions independently and prudently at their own risk. Before making any decision based on the information and opinions contained herein, investors shall consider their individual investment objectives, financial situations and specific needs at the time, consult with professional consultants regarding such decision, and bear all the risks. Nomura Orient International Securities and/or its affiliates (including their respective employees) shall not be held liable for any errors or omissions in the information and opinions herein (regardless of the reasons for such errors or omissions), or for any consequences arising from the use of or reference upon this report.

The opinions, assessments and forecasts contained herein are only the opinions and judgments at the time of this report's production and publication (or the specific date stated in the report). Such opinions, assessments and forecasts are subject to change and may be amended without any notification. At different periods, Nomura Orient International Securities may release reports which are inconsistent with the opinions, assessments and forecasts contained herein.

The analyst(s) named in this report may, within this report or in communications with clients, sales personnel, trading personnel and other business personnel of Nomura Orient International Securities, discuss trading strategies regarding events that may have a short-term impact on the market price of the subject securities or other financial products covered in this report. Such analysis of short-term impact may be contrary to or inconsistent with the analyst's published views on the price target, rating, valuation, or forecast of the subject securities or other financial products. Regardless of any such contradiction or inconsistency, this does not affect the analyst's fundamental rating or assessment of the subject securities or other financial products under their coverage.

Nomura Orient International Securities and/or its affiliates may issue other reports inconsistent with or reaching different conclusions from the information contained in this report. The views, insights, and analytical methods expressed in this report reflect those of the named analyst(s), and do not necessarily represent the views of Nomura Orient International Securities and/or its affiliates. Sales personnel, trading personnel and other business personnel of Nomura Orient International Securities and/or its affiliates may provide market commentary and/or trading ideas, orally or in writing, that differ from the opinions and recommendations in this report, based on different assumptions, standards or analytical methods. Nomura Orient International Securities is under no obligation to update such recommendations and opinions for all recipients of this report. The asset management, proprietary trading and other investment-related departments of Nomura Orient International Securities and/or its affiliates may make investment decisions independently that are inconsistent with the recommendations or opinions expressed in this report.

Unless stated otherwise, any performance data referenced in this report represents past performance. Past performance is not an indicator of future performance. No representation or warranty is made by Nomura Orient International Securities that any returns indicated will be achieved. Forecasts included in the analysis may be based on certain assumptions. Changes to these assumptions may have a material impact on any such returns detailed.

This report is provided solely on the basis that the recipient is deemed capable of independently evaluating investment risks and exercising independent judgment in making investment decisions. Independent investment judgment means that investment decisions are made independently by the investors themselves based on their own assessment of potential investment objectives, needs, opportunities, risks, market factors and other investment considerations.

This report is distributed in Mainland China in accordance with the laws and regulations of the People's Republic of China (the "PRC").

After the simplified Chinese version of this report is published in Mainland China, the English version of this report will be uploaded to the Global Research Portal of Nomura Holdings, Inc. ("Nomura Group") and distributed in Hong Kong SAR by Nomura International (Hong Kong) Limited ("NIHK"). The Global Research Portal of Nomura Group is accessible to the Group's global clients and, subject to applicable local requirements, the English version of this report may be distributed in other countries or regions by qualified Nomura Group affiliates.

Nomura Orient International Securities and NIHK are both controlled by Nomura Group. Nomura Orient International Securities holds the securities investment consulting business qualification approved by the China Securities Regulatory Commission ("CSRC") and operates under the CSRC's regulation. Concurrently, NIHK is regulated by the Hong Kong Securities and Futures Commission.

Special Disclaimer

To the extent permitted by law, Nomura Orient International Securities and/or its affiliates may be in the process of establishing or seeking to establish business or service relationships with companies mentioned in this report. Nomura Orient International Securities and/or its affiliates (including their respective employees) may, to the extent permitted by applicable laws, hold or buy or sell the underlying securities or other financial products mentioned in this report on their own or on behalf of others for a long or short period of time. Nomura Orient International Securities and/or its affiliates may also assume the identity of a market maker or liquidity provider for such securities or other financial products. Therefore, investors shall consider that there may be potential conflicts of interest that affect the objectivity of the opinions contained in this report.

This report is distributed only to clients and specific cooperative institutions authorized by Nomura Orient International Securities and/or its affiliates. It is not publicly available, and its use is restricted solely to the recipient, who is bound by confidentiality obligations. Nomura Orient International Securities and/or its affiliates do not consider individuals who receive or access this report through unauthorized channels as its clients.

This report may contain information obtained from third parties, such as rating information provided by credit rating agencies. Nomura Orient International Securities values and protects the legitimate rights and interests of others, including personal rights and intellectual property rights, and has made reasonable efforts to verify the objectivity and authenticity of information sources, and to appropriately indicate third-party sources and rights information to protect their legitimate interests. Should any right holder identify content within this report that they believe may infringe upon their legitimate rights and interests, the right holder is entitled to raise an objection with Nomura Orient International Securities. Upon due verification, Nomura Orient International Securities will undertake measures to modify, remove, or delete relevant content in accordance with applicable laws and regulations of the PRC. Unless expressly permitted by prior written consent from such third parties, their information may not be reprocessed or forwarded.

The copyright of this report is exclusively owned by Nomura Orient International Securities. No institution or individual may forward, reprint, reproduce, publish, quote or reprocess this report in any form without prior written permission. Any unauthorized use beyond the scope of permission granted by Nomura Orient International Securities and/or its affiliates, or any modification of this report not made by Nomura Orient International Securities, that infringes upon third-party intellectual property rights shall be the sole responsibility of the user. Nomura Orient International Securities and/or its affiliates (including their respective employees) assume no liability for such actions. Except as otherwise stated in the third paragraph of this special disclaimer, Nomura Orient International Securities is under no obligation to update or revise this report.

Nomura Orient International Securities reserves the right to modify and exercise final interpretation of this report and its associated disclaimers.

Important Disclosures

Online availability of research and conflict-of-interest disclosures

Nomura Group research is available on www.nomuranow.com/research, Bloomberg, Capital IQ, Factset, LSEG.

Important disclosures may be read at <http://go.nomuranow.com/research/m/Disclosures> or requested from Nomura Securities International, Inc. If you have any difficulties with the website, please email grpsupport@nomura.com for help.

The analysts responsible for preparing this report have received compensation based upon various factors including the firm's total revenues, a portion of which is generated by Investment Banking activities. Unless otherwise noted, the non-US analysts listed at the front of this report are not registered/qualified as research analysts under FINRA rules, may not be associated persons of NSI, and may not be subject to FINRA Rule 2241 restrictions on communications with covered companies, public appearances, and trading securities held by a research analyst account.

Nomura Global Financial Products Inc. (NGFP) Nomura Derivative Products Inc. (NDP) and Nomura International plc. (NIplc) are registered with the Commodities Futures Trading Commission and the National Futures Association (NFA) as swap dealers. NGFP, NDPI, and NIplc are generally engaged in the trading of swaps and other derivative products, any of which may be the subject of this report.

Distribution of ratings (Nomura Group)

The distribution of all ratings published by Nomura Group Global Equity Research is as follows:

58% have been assigned a Buy rating which, for purposes of mandatory disclosures, are classified as a Buy rating; 33% of companies with this rating are investment banking clients of the Nomura Group*. 0% of companies (which are admitted to trading on a regulated market in the EEA) with this rating were supplied material services** by the Nomura Group.

39% have been assigned a Neutral rating which, for purposes of mandatory disclosures, is classified as a Hold rating; 57% of companies with this rating are investment banking clients of the Nomura Group*. 0% of companies (which are admitted to trading on a regulated market in the EEA) with this rating were supplied material services by the Nomura Group

3% have been assigned a Reduce rating which, for purposes of mandatory disclosures, are classified as a Sell rating; 15% of companies with this rating are investment banking clients of the Nomura Group*. 0% of companies (which are admitted to trading on a regulated market in the EEA) with this rating were supplied material services by the Nomura Group.

As at 30 June 2026.

*The Nomura Group as defined in the Disclaimer section at the end of this report.

** As defined by the EU Market Abuse Regulation

Definition of Nomura Group's equity research rating system and sectors

The rating system is a relative system, indicating expected performance against a specific benchmark identified for each individual stock, subject to limited management discretion. An analyst's target price is an assessment of the current intrinsic fair value of the stock based on an appropriate valuation methodology determined by the analyst. Valuation methodologies include, but are not limited to, discounted cash flow analysis, expected return on equity and multiple analysis. Analysts may also indicate expected absolute upside/downside relative to the stated target price, defined as (target price - current price)/current price.

STOCKS

A rating of **'Buy'**, indicates that the analyst expects the stock to outperform the Benchmark over the next 12 months. A rating of **'Neutral'**, indicates that the analyst expects the stock to perform in line with the Benchmark over the next 12 months. A rating of **'Reduce'**, indicates that the analyst expects the stock to underperform the Benchmark over the next 12 months. A rating of **'Suspended'**, indicates that the rating, target price and estimates have been suspended temporarily to comply with applicable regulations and/or firm policies. Securities and/or companies that are labelled as **'Not rated'** or shown as **'No rating'** are not in regular research coverage. Investors should not expect continuing or additional information from Nomura relating to such securities and/or companies. Benchmarks are as follows: **United States/Europe/Asia ex-Japan**: please see valuation methodologies for explanations of relevant benchmarks for stocks, which can be accessed at: <http://go.nomuranow.com/research/m/Disclosures>; **Global Emerging Markets (ex-Asia)**: MSCI Emerging Markets ex-Asia, unless otherwise stated in the valuation methodology; **Japan**: Russell/Nomura Large Cap.

SECTORS

A **'Bullish'** stance, indicates that the analyst expects the sector to outperform the Benchmark during the next 12 months. A **'Neutral'** stance, indicates that the analyst expects the sector to perform in line with the Benchmark during the next 12 months. A **'Bearish'** stance, indicates that the analyst expects the sector to underperform the Benchmark during the next 12 months. Sectors that are labelled as **'Not rated'** or shown as **'N/A'** are not assigned ratings. Benchmarks are as follows: **United States**: S&P 500; **Europe**: Dow Jones STOXX 600; **Global Emerging Markets (ex-Asia)**: MSCI Emerging Markets ex-Asia. **Japan/Asia ex-Japan**: Sector ratings are not assigned.

Target Price

A Target Price, if discussed, indicates the analyst's forecast for the share price with a 12-month time horizon, reflecting in part the analyst's estimates for the company's earnings. The achievement of any target price may be impeded by general market and macroeconomic trends, and by other risks related to the company or the market, and may not occur if the company's earnings differ from estimates.

Disclaimers

This publication contains material that has been prepared by the Nomura Group entity identified on page 1 and, if applicable, with the contributions of one or more Nomura Group entities whose employees and their respective affiliations are specified on page 1 or identified elsewhere in this publication. The term "Nomura Group" used herein refers to Nomura Holdings, Inc. and its affiliates and subsidiaries including: (a) Nomura Securities Co., Ltd. ('NSC') Tokyo, Japan, (b) Nomura Financial Products Europe GmbH ('NFPE'), Germany, (c) Nomura International plc ('NIplc'), UK, (d) Nomura Securities International, Inc. ('NSI'), New York, US, (e) Nomura International (Hong Kong) Ltd. ('NIHK'), Hong Kong, (f) Nomura Financial Investment (Korea) Co., Ltd. ('NFIK'), Korea (Information on Nomura analysts registered with the Korea Financial Investment Association ('KOFIA') can be found on the KOFIA Intranet at <http://dis.kofia.or.kr>, (g) Nomura Singapore Ltd. ('NSL'), Singapore (Registration number 197201440E, regulated by the Monetary Authority of Singapore) (h) Nomura Australia Ltd. ('NAL'), Australia (ABN 48 003 032 513), regulated by the Australian Securities and Investment Commission ('ASIC') and holder of an Australian financial services licence number 246412, (i) Nomura Securities Malaysia Sdn. Bhd. ('NSM'), Malaysia, (j) NIHK, Taipei Branch ('NITB'), Taiwan, (k) Nomura Financial Advisory and Securities (India) Private Limited ('NFASL'), Mumbai, India (Registered Address: Ceejay House,

Level 11, Plot F, Shivsagar Estate, Dr. Annie Besant Road, Worli, Mumbai-400 018, India; Tel: 91 22 4037 4037, Fax: 91 22 4037 4111; CIN No: U74140MH2007PTC169116, SEBI Registration No. for Stock Broking activities : INZ000255633; SEBI Registration No. for Merchant Banking : INM000011419; SEBI Registration No. for Research: INH000001014 - Compliance Officer: Ms. Pratiksha Tondwalkar, 91 22 40374904, grievance email: investorgrievancesra@nomura.com Webpage: [LINK](#)

For reports with respect to Indian public companies or authored by India-based NFASL research analysts: (i) Investment in securities markets is subject to market risks. Read all the related documents carefully before investing. (ii) Registration granted by SEBI, and certification from NISM in no way guarantee performance of the intermediary or provide any assurance of returns to investors. (iii) NFASL terms and conditions for availing research services is disclosed on NFASL webpage.

(l) Nomura Fiduciary Research & Consulting Co., Ltd. ('NFR') Tokyo, Japan. (m) Nomura Orient International Securities Co., Ltd ("NOI"), is a majority owned joint venture amongst Nomura Group, Orient International (Holding) Co., Ltd, and Shanghai Huangpu Investment Holding (Group) Co., Ltd. In accordance with the laws of the People's Republic of China ("PRC", excluding Hong Kong, Macau and Taiwan, for the purpose of this document), NOI is licensed in the PRC to provide securities research and investment recommendations and it operates independently from the other members of the Nomura Group; in particular, NOI's interests in PRC securities are not disclosed to, or aggregated with the holdings of, any other Nomura Group entities and the interests in PRC securities of other Nomura Group entities are not disclosed to, or aggregated with the holdings of, NOI. An individual name printed next to NOI on the front page of a research report indicates that individual is employed by NOI to provide research assistance to NHHK under a research partnership agreement. 'NSFSPL' next to an employee's name on the front page of a research report indicates that the individual is employed by Nomura Structured Finance Services Private Limited to provide assistance to certain Nomura entities under inter-company agreements. 'Verdhana' next to an individual's name on the front page of a research report indicates that the individual is employed by PT Verdhana Sekuritas Indonesia ('Verdhana') to provide research assistance to NHHK under a research partnership agreement and neither Verdhana nor such individual is licensed outside of Indonesia.

THIS MATERIAL IS: (I) FOR YOUR PRIVATE INFORMATION, AND WE ARE NOT SOLICITING ANY ACTION BASED UPON IT; (II) NOT TO BE CONSTRUED AS AN OFFER TO SELL OR A SOLICITATION OF AN OFFER TO BUY ANY SECURITIES IN ANY JURISDICTION WHERE SUCH OFFER OR SOLICITATION WOULD BE ILLEGAL; AND (III) OTHER THAN DISCLOSURES RELATING TO THE NOMURA GROUP, BASED UPON INFORMATION FROM SOURCES THAT WE CONSIDER RELIABLE, BUT HAS NOT BEEN INDEPENDENTLY VERIFIED BY NOMURA GROUP.

Other than disclosures relating to the Nomura Group, the Nomura Group does not warrant, represent or undertake, express or implied, that the document is fair, accurate, complete, correct, reliable or fit for any particular purpose or merchantable, and to the maximum extent permissible by law and/or regulation, does not accept liability (in negligence or otherwise, and in whole or in part) for any act (or decision not to act) resulting from use of this document and related data. To the maximum extent permissible by law and/or regulation, all warranties and other assurances by the Nomura Group are hereby excluded and the Nomura Group shall have no liability (in negligence or otherwise, and in whole or in part) for any loss howsoever arising from the use, misuse, or distribution of this material or the information contained in this material or otherwise arising in connection therewith.

Opinions or estimates expressed are current opinions as of the original publication date appearing on this material and the information, including the opinions and estimates contained herein, are subject to change without notice. The Nomura Group, however, expressly disclaims any obligation, and therefore is under no duty, to update or revise this document. Any comments or statements made herein are those of the author(s) and may differ from views held by other parties within Nomura Group. Clients should consider whether any advice or recommendation in this report is suitable for their particular circumstances and, if appropriate, seek professional advice, including tax advice. The Nomura Group does not provide tax advice.

The Nomura Group, and/or its officers, directors, employees and affiliates, may, to the extent permitted by applicable law and/or regulation, deal as principal, agent, or otherwise, or have long or short positions in, or buy or sell, the securities, commodities or instruments, or options or other derivative instruments based thereon, of issuers or securities mentioned herein. The Nomura Group companies may also act as market maker or liquidity provider (within the meaning of applicable regulations in the UK) in the financial instruments of the issuer. Where the activity of market maker is carried out in accordance with the definition given to it by specific laws and regulations of the US or other jurisdictions, this will be separately disclosed within the specific issuer disclosures.

This document may contain information obtained from third parties, including, but not limited to, ratings from credit ratings agencies such as Standard & Poor's. The Nomura Group hereby expressly disclaims all representations, warranties or undertakings of originality, fairness, accuracy, completeness, correctness, merchantability or fitness for a particular purpose with respect to any of the information obtained from third parties contained in this material or otherwise arising in connection therewith, and shall not be liable (in negligence or otherwise, and in whole or in part) for any direct, indirect, incidental, exemplary, compensatory, punitive, special or consequential damages, costs, expenses, legal fees, or losses (including lost income or profits and opportunity costs) in connection with any use or misuse of any of the information obtained from third parties contained in this material or otherwise arising in connection therewith. Reproduction and distribution of third-party content in any form is prohibited except with the prior written permission of the related third-party. Third-party content providers do not, express or implied, guarantee the fairness, accuracy, completeness, correctness, timeliness or availability of any information, including ratings, and are

not in any way responsible for any errors or omissions (negligent or otherwise), regardless of the cause, or for the results obtained from the use or misuse of such content. Third-party content providers give no express or implied warranties, including, but not limited to, any warranties of merchantability or fitness for a particular purpose or use. Third-party content providers shall not be liable (in negligence or otherwise, and in whole or in part) for any direct, indirect, incidental, exemplary, compensatory, punitive, special or consequential damages, costs, expenses, legal fees, or losses (including lost income or profits and opportunity costs) in connection with any use or misuse of their content, including ratings. Credit ratings are statements of opinions and are not statements of fact or recommendations to purchase hold or sell securities. They do not address the suitability of securities or the suitability of securities for investment purposes, and should not be relied on as investment advice.

Any MSCI sourced information in this document is the exclusive property of MSCI Inc. ('MSCI'). Without prior written permission of MSCI, this information and any other MSCI intellectual property may not be duplicated, reproduced, re-disseminated, redistributed or used, in whole or in part, for any purpose whatsoever, including creating any financial products and any indices. This information is provided on an "as is" basis. The user assumes the entire risk of any use made of this information. MSCI, its affiliates and any third party involved in, or related to, computing or compiling the information hereby expressly disclaim all representations, warranties or undertakings of originality, fairness, accuracy, completeness, correctness, merchantability or fitness for a particular purpose with respect to any of this material or the information contained in this material or otherwise arising in connection therewith. Without limiting any of the foregoing, in no event shall MSCI, any of its affiliates or any third party involved in, or related to, computing or compiling the information have any liability (in negligence or otherwise, and in whole or in part) for any damages of any kind. MSCI and the MSCI indexes are services marks of MSCI and its affiliates.

The intellectual property rights and any other rights, in Russell/Nomura Japan Equity Index belong to Nomura Fiduciary Research & Consulting Co., Ltd. ("NFR") and FTSE Russell ("Russell"). NFR and Russell do not guarantee fairness, accuracy, completeness, correctness, reliability, usefulness, marketability, merchantability or fitness of the Index, and do not account for business activities or services that any index user and/or its affiliates undertakes with the use of the Index.

Investors should consider this document as only a single factor in making their investment decision and, as such, the report should not be viewed as identifying or suggesting all risks, direct or indirect, that may be associated with any investment decision. Nomura Group produces a number of different types of research product including, among others, fundamental analysis and quantitative analysis; recommendations contained in one type of research product may differ from recommendations contained in other types of research product, whether as a result of differing time horizons, methodologies or otherwise. The Nomura Group publishes research product in a number of different ways including the posting of product on the Nomura Group portals and/or distribution directly to clients. Different groups of clients may receive different products and services from the research department depending on their individual requirements.

Figures presented herein may refer to past performance or simulations based on past performance which are not reliable indicators of future or likely performance. Where the information contains an expectation, projection or indication of future performance and business prospects, such forecasts may not be a reliable indicator of future or likely performance. Moreover, simulations are based on models and simplifying assumptions which may oversimplify and not reflect the future distribution of returns. Any figure, strategy or index created and published for illustrative purposes within this document is not intended for "use" as a "benchmark" as defined by the European Benchmark Regulation.

Certain securities are subject to fluctuations in exchange rates that could have an adverse effect on the value or price of, or income derived from, the investment.

With respect to Fixed Income Research: Recommendations fall into two categories: tactical, which typically last up to three months; or strategic, which typically last from 6-12 months. However, trade recommendations may be reviewed at any time as circumstances change. 'Stop loss' levels for trades are also provided; which, if hit, closes the trade recommendation automatically. Prices and yields shown in recommendations are taken at the time of submission for publication and are based on either indicative Bloomberg, LSEG or Nomura prices and yields at that time. The prices and yields shown are not necessarily those at which the trade recommendation can be implemented.

The securities described herein may not have been registered under the US Securities Act of 1933 (the '1933 Act'), and, in such case, may not be offered or sold in the US or to US persons unless they have been registered under the 1933 Act, or except in compliance with an exemption from the registration requirements of the 1933 Act. Unless governing law permits otherwise, any transaction should be executed via a Nomura entity in your home jurisdiction.

This document has been approved for distribution in the UK as investment research by NI plc. NI plc is authorised by the Prudential Regulation Authority and regulated by the Financial Conduct Authority and the Prudential Regulation Authority. NI plc is a member of the London Stock Exchange. This document does not constitute a personal recommendation within the meaning of applicable regulations in the UK, or take into account the particular investment objectives, financial situations, or needs of individual investors. This document is intended only for investors who are 'eligible counterparties' or 'professional clients' for the purposes of applicable regulations in the UK, and may not, therefore, be redistributed to persons who are 'retail clients' for such purposes.

This document has been approved for distribution in the European Economic Area as investment research by Nomura Financial Products Europe GmbH ("NFPE"). NFPE is a company organized as a limited liability company under German law registered in the Commercial Register

of the Court of Frankfurt/Main under HRB 110223. NFPE is authorized and regulated by the German Federal Financial Supervisory Authority (BaFin).

This document has been approved by NIHK, which is regulated by the Hong Kong Securities and Futures Commission, for distribution in Hong Kong by NIHK. This document is intended only for investors who are 'professional investors' for the purposes of applicable regulations in Hong Kong and may not, therefore, be redistributed to persons who are not 'professional investors' for such purposes.

This document has been approved for distribution in Australia by NAL, which is authorized and regulated in Australia by the ASIC.

This document has also been approved for distribution in Malaysia by NSM.

In Singapore, this document has been distributed by NSL, an exempt financial adviser as defined under the Financial Advisers Act (Chapter 110), among other things, and regulated by the Monetary Authority of Singapore. NSL may distribute this document produced by its foreign affiliates pursuant to an arrangement under Regulation 32C of the Financial Advisers Regulations. This document is intended for accredited, expert or institutional investors as defined by the Securities and Futures Act (Chapter 289). Where the recipient of this document is not an accredited, expert or institutional investor, NSL accepts legal responsibility for the contents of this document in respect of such recipient only to the extent required by law. Recipients of this document in Singapore should contact NSL in respect of matters arising from, or in connection with, this document. THIS DOCUMENT IS INTENDED FOR GENERAL CIRCULATION. IT DOES NOT TAKE INTO ACCOUNT THE SPECIFIC INVESTMENT OBJECTIVES, FINANCIAL SITUATION OR PARTICULAR NEEDS OF ANY PARTICULAR PERSON. RECIPIENTS SHOULD TAKE INTO ACCOUNT THEIR SPECIFIC INVESTMENT OBJECTIVES, FINANCIAL SITUATION OR PARTICULAR NEEDS BEFORE MAKING A COMMITMENT TO PURCHASE ANY SECURITIES, INCLUDING SEEKING ADVICE FROM AN INDEPENDENT FINANCIAL ADVISER REGARDING THE SUITABILITY OF THE INVESTMENT, UNDER A SEPARATE ENGAGEMENT, AS THE RECIPIENT DEEMS FIT.

Unless prohibited by the provisions of Regulation S of the 1933 Act, this material is distributed in the US, by NSI, a US-registered broker-dealer, which accepts responsibility for its contents in accordance with the provisions of Rule 15a-6, under the US Securities Exchange Act of 1934. The entity that prepared this document permits its separately operated affiliates within the Nomura Group to make copies of such documents available to their clients.

This document has not been approved for distribution to persons other than 'Authorised Persons', 'Exempt Persons' or 'Institutions' (as defined by the Capital Markets Authority) in the Kingdom of Saudi Arabia ('Saudi Arabia') or a 'Market Counterparty' or a 'Professional Client' (as defined by the Dubai Financial Services Authority) in the United Arab Emirates ('UAE') or a 'Market Counterparty' or a 'Business Customer' (as defined by the Qatar Financial Centre Regulatory Authority) in the State of Qatar ('Qatar') by Nomura Saudi Arabia, Nlplc or any other member of the Nomura Group, as the case may be. Neither this document nor any copy thereof may be taken or transmitted or distributed, directly or indirectly, by any person other than those authorised to do so into Saudi Arabia or in the UAE or in Qatar or to any person other than 'Authorised Persons', 'Exempt Persons' or 'Institutions' located in Saudi Arabia or a 'Market Counterparty' or a 'Professional Client' in the UAE or a 'Market Counterparty' or a 'Business Customer' in Qatar. Any failure to comply with these restrictions may constitute a violation of the laws of the UAE or Saudi Arabia or Qatar.

For report with reference of TAIWAN public companies or authored by Taiwan based research analyst:

THIS DOCUMENT IS SOLELY FOR REFERENCE ONLY. You should independently evaluate the investment risks and are solely responsible for your investment decisions. NO PORTION OF THE REPORT MAY BE REPRODUCED OR QUOTED BY THE PRESS OR ANY OTHER PERSON WITHOUT WRITTEN AUTHORIZATION FROM NOMURA GROUP. Pursuant to Operational Regulations Governing Securities Firms Recommending Trades in Securities to Customers and/or other applicable laws or regulations in Taiwan, you are prohibited to provide the reports to others (including but not limited to related parties, affiliated companies and any other third parties) or engage in any activities in connection with the reports which may involve conflicts of interests. INFORMATION ON SECURITIES / INSTRUMENTS NOT EXECUTABLE BY NOMURA INTERNATIONAL (HONG KONG) LTD., TAIPEI BRANCH IS FOR INFORMATIONAL PURPOSES ONLY AND IS NOT BE CONSTRUED AS A RECOMMENDATION OR A SOLICITATION TO TRADE IN SUCH SECURITIES / INSTRUMENTS.

This material may not be distributed in Indonesia or passed on within the territory of the Republic of Indonesia or to persons who are Indonesian citizens (wherever they are domiciled or located) or entities of or residents in Indonesia in a manner which constitutes a public offering under the laws of the Republic of Indonesia. The securities mentioned in this document may not be offered or sold in Indonesia or to persons who are citizens of Indonesia (wherever they are domiciled or located) or entities of or residents in Indonesia in a manner which constitutes a public offering under the laws of the Republic of Indonesia.

An individual name printed next to NOI on the front page of a research report indicates that this document is a translation of a research report issued by NOI in the PRC. In all other cases, this document is prepared by Nomura Group or its subsidiary or affiliate (collectively, "Offshore Issuers") that is not licensed in the PRC to provide securities research. This research report is not approved or intended to be circulated in the PRC. The A-share related analysis (if any) is not produced for any persons located or incorporated in the PRC. The recipients should not rely on any information contained in this research report in making investment decisions and Offshore Issuers take no responsibility in this regard.

NO PART OF THIS MATERIAL MAY BE (I) COPIED, PHOTOCOPIED, REPRODUCED OR DUPLICATED IN ANY FORM, BY ANY MEANS; OR (II) REDISSEMINATED, REPUBLISHED OR REDISTRIBUTED WITHOUT THE PRIOR WRITTEN CONSENT OF A MEMBER OF THE NOMURA GROUP. If this document has been distributed by electronic transmission, such as e-mail, then such transmission cannot be guaranteed to be secure or error-free as information could be intercepted, corrupted, lost, destroyed, arrive late or incomplete, or contain viruses. The sender therefore does not accept liability (in negligence or otherwise, and in whole or in part) for any errors or omissions in the contents of this document, which may arise as a result of electronic transmission. If verification is required, please request a hard-copy version.

The Nomura Group manages conflicts with respect to the production of research through its compliance policies and procedures (including, but not limited to, Conflicts of Interest, Chinese Wall and Confidentiality policies) as well as through the maintenance of Chinese Walls and employee training.

Additional information regarding the methodologies or models used in the production of any investment recommendations contained within this document is available upon request by contacting the Research Analysts of Nomura listed on the front page. Disclosures information is available upon request and disclosure information is available at the Nomura Disclosure web page:
<http://go.nomuranow.com/research/m/Disclosures>

Copyright © 2026 Nomura. All rights reserved.

Disclosures as of 21-Aug-2026.